

DEPARTMENT OF THE TREASURY
SF 1014 - JUSTIFICATION FOR AN EXCEPTION
TO FAIR OPPORTUNITY

1. Identification of the requiring activity and the contracting activity: Requiring Activity: IRS Information Technology/Enterprise Services Contracting Activity: IRS Office of the Chief Procurement Officer/ Enterprise Services	
2.a Nature and/or description of the action being approved: The purpose of this Justification for Exception to Fair Opportunity (JEFO) is to request an exception to the IRS Bridge Moratorium in order to place a Bridge contract vehicle with incumbent vendor Peraton Inc. to continue the mission-essential Infrastructure Shared Services (ISS) IT support currently being provided under contract 2032H5-19-F-00346 expiring on 3/29/2025. The contract type will be a Firm Fixed Price/Labor Hours Hybrid. The Period of Performance (PoP) will be from 3/30/2025 through 3/29/2026, consisting of a 6-month Base Period ending 9/29/2025 plus an additional three 2-month Option Periods to be exercised at the discretion of the government in whole or in part if needed. The duration of the projected base and option periods affords the Government reasonable time to procure services while ensuring compliance with policy and procedures. The additional time will afford the Government the ability to transition to the new contract and address any financial and/or technical matters before the new award's period of performance begins. The requested Bridge contract is required in order to maintain operational continuity of mission-essential tax filing and tax processing IT systems under ISS while a competitive follow-on contract is awarded, and to ensure an orderly transition to the awardee(s) of the competitive follow-on contract.	
2.b Name of the vendor. Peraton, Inc	
2.c Requisition No.: 5000203963	
2.d Bridge contract: ☒ Yes ☐ No	2.e Brand name: ☐ Yes ☒ No
3.a A description of the supplies or services required to meet the agency's needs: The requested Bridge vehicle will provide contractor support services to perform a wide array of highly specialized engineering, configuration, systems administration, data management, development, and ongoing management/maintenance activities essential to the continued functioning of the IRS IT infrastructure. The agency lacks sufficient federal staff resources with the requisite technical, engineering, data management, systems configuration/administration, and other highly specialized skill sets required in order to sustain and manage the IRS IT infrastructure which is the fundamental underpinning of all IRS IT and Business operations. Continued stable and efficient functioning of the IRS IT infrastructure is indispensable to the Tax Filing Season, overall tax administration, quality taxpayer experience, and voluntary tax compliance, all of which are directly, tangibly, and inextricably related to accomplishing the agency's mission.	
3.b Includes IT: ☒ Yes ☐ No NAICS: 541511 and PSC: DA01 IT and Telecom - BUSINESS APPLICATION/ APPLICATION DEVELOPMENT SUPPORT SERVICES (LABOR)	
3.c IGCE/Estimated dollar value: 3.c IGCE/Estimated dollar value: The estimated value of the requested Bridge contract is [REDACTED] which includes the initial 6-month Base Period and the three 2-month Option Periods if fully exercised. The entirety of this estimated amount is for specialized technical/engineering support services as described elsewhere in this JEFO. There are no commodity, software, or hardware assets associated with this requirement. Refer to Independent Government Cost Estimate (IGCE) for details.	
4.a Identification of the exception to fair opportunity being used: ☒ FAR 16.505(b)(2)(i)(A) – The agency need for the supplies or services is so urgent that providing a fair opportunity would result in unacceptable delays.	

☐ FAR 16.505(b)(2)(i)(B) – Only one awardee is capable of providing the supplies or services required at the level of quality required because the supplies or services ordered are unique or highly specialized.

☐ FAR 16.505(b)(2)(i)(C) – The order must be issued on a sole-source basis in the interest of economy and efficiency because it is a logical follow-on to an order already issued under the contract, provided that all awardees were given a fair opportunity to be considered for the original order.

☐ FAR 16.505(b)(2)(i)(D) – It is necessary to place an order to satisfy a minimum guarantee.

☐ FAR 16.505(b)(2)(i)(E) – For orders exceeding the simplified acquisition threshold, a statute expressly authorizes or requires that the purchase be made from a specified source.

☐ FAR 16.505(a)(4) – The requirement is for an item peculiar to one manufacturer. (i.e., Brand Name specifications)

4.b Supporting rationale:

Specialized technical, engineering, and other associated critical support for the IT systems and services within the Infrastructure Shared Services (ISS) Program provided under Task Order 2032H5-19-F-00346 will expire on 3/29/2025. The option to extend services (FAR 52.217-8) has already been exercised and support cannot be further extended under the current contract vehicle. The Requiring and Contracting Activities are collaborating on the placement of a competitively awarded follow-on contract vehicle for ISS support. Initial Market Research conducted as part of the pre-award phase of the competitive follow-on indicates potential for robust Small Business representation. Because it has been determined that placement of this competitive follow-on contract action cannot be completed prior to the expiration of the current ISS Task Order in March 2025, and owing to the fundamental and immutable need to maintain continuity of IRS IT Infrastructure support essential to the Tax Filing Season, tax administration, and overall IRS operations, it will be necessary to place an interim ISS solution in the form of the requested Bridge contract in order to ensure the required continuity of support while the competitive follow-on is being awarded, and provide for the orderly transition from the requested Bridge contract to the awardee(s) of the competitive follow-on action. The delay incurred by IT/Enterprise Services (ES) in delivering the required acquisition package to IRS Procurement is not due to a lack of appropriate advanced planning, but rather due to the loss of 3 key federal IT acquisition SMEs (ISS CORs) with valuable irreplaceable skills and experience to retirement, voluntary reassignment, and other forms of attrition, further there have been challenges in successfully backfilling these vacated staff positions. ES has backfilled one of the 3 positions and committed to prioritizing efforts to hire additional COR resources for ISS.

5. A determination that the anticipated cost to the Government will be fair and reasonable:

The Contracting Officer for the requested Bridge contract has determined that the costs associated with this interim solution are fair and reasonable based on analysis of published benchmarked labor rates. It is the government's expectation that pricing proposed by the incumbent vendor for the requested Bridge contract will not exceed the maximum rates established at the GWAC Master Contract Level, which have been determined fair and reasonable.

6.a Any other facts supporting this justification:

The expiring ISS Task Order and multiple prior ISS requirements were all competitively awarded. The expiring ISS Task Order (2032H5-19-F-00346) was competitively awarded under the Alliant2 GSA IDIQ. Prior iterations were likewise competitively awarded under the Treasury Information Processing Support Services (TIPSS) IDIQ. The agency has not sought or leveraged any Bridge contract actions associated with the ISS requirement prior to this occasion. This contract will also contain a portion of Advisory & Assistance Services for some program and/or project management

and administration support, however, the FAR 16.505(c)(2)(ii) restriction on ordering periods for A&A services is inapplicable to this award as it is a task order, which has no ordering period. Furthermore, the A&A Services have been determined to be incidental to the technical, engineering, data management, and systems administration services mentioned above. Per FAR 16.505(c)(2)(ii), the 5-year limitation on ordering period for task-order contracts for advisory and assistance services does not apply when the contracting officer, or other official designated by the head of the agency, determines that the advisory and assistance services are incidental and not a significant component of the contract.

6.b Attachments: ☐ Yes ☒ No

7. A statement of the actions, if any, the Requiring Activity and Contracting Activity may take to remove or overcome any barriers that led to the exception to fair opportunity before any subsequent acquisition for the supplies and services is made:

IRS has been and remains staunchly committed to the fundamental imperative of fostering competition to the maximum extent practical when soliciting support services such as those required to sustain and enhance the IRS IT Infrastructure. The Requiring and Contracting Activities are aggressively pursuing a competitively awarded follow-on contract to provide ISS IT support subsequent to the requested Bridge contract. As stated elsewhere in this JEFO, prior iterations of the ISS requirement have been competitively awarded, and the agency has not leveraged a sole source Bridge for this requirement prior to this current request. Initial Market Research conducted as part of the competitive follow-on acquisition indicates the potential for significant Small Business as well as Large Business participation. Internal IT acquisition reviews of the acquisition package have been completed, and the required FITARA review has been initiated. PPS Shopping Cart 5000179300 and the accompanying acquisition package have been submitted to IRS Procurement. The Contracting Officer for the ISS competitive follow-on is preparing a Sources Sought Notification anticipated to be published on SAM.GOV on or before 12/1/2024 as a source of additional Market Research and to further validate the ability of Small Business entities to compete for the follow-on.

8. Certifications and Approvals:

8.a Program Office Certification (Requiring Activity). I hereby certify that any supporting information and data provided (e.g., the Government's minimum needs or requirements, or other rationale for the limited sources) and which form the basis for this justification for an exception to fair opportunity, are accurate and complete to the best of my knowledge and belief.

Name: Timothy LaMoy **Date:** _____

Signature: Diem Le
Digitally signed by Diem Le
Date: 2024.12.10
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8.b Contracting Officer Certification and Approval. I certify this justification for an exception to fair opportunity is accurate and complete to the best of my knowledge and belief. Therefore, unless additional approvals are required as prescribed below, as the authorized contracting officer for this acquisition, I hereby approve the processing of this requirement based on the authority specified in 4.a above.

Name: _____ **Date:** _____

Signature: _____
Digitally signed by JW R. Terry
Date: 2024.12.10
16:11:38 -05'00'

9. Additional Reviews and Approvals (As applicable):

9.a Bureau Chief Information Officer or Authorized Designee (for IT requirements that are over \$5 million, but not exceeding \$75 million) (Contracting Activity). I have reviewed this justification and find it to be accurate and complete to the best of my knowledge and

belief, and representative of the Government's need. Therefore, I hereby consent to the approval of this justification. (Note: The Bureau CIO may delegate their authority for proposed contracts over \$5 million, but not exceeding \$15 million to the Associate Bureau CIO(s).)

Name: _____ Date: _____

Signature: _____ Rajiv K. Uppal
Date: 02/11/2015 08:57:17 -05'00'

9.b Advocate for Competition (if over \$750,000, but not exceeding \$15 million) (Contracting Activity). I have reviewed this justification for an exception to fair opportunity and find it to be accurate and complete to the best of my knowledge and belief. Therefore, unless additional approvals are required as prescribed below, as the ordering activity's Advocate for competition, I hereby approve this justification based on the authority specified in 4.a above.

Name: _____ Date: _____

Signature: _____

9.c Head of the Procuring Activity or Authorized Designee (if over \$15 million, but not exceeding \$75 million) (Contracting Activity). I have reviewed this justification for an exception to fair opportunity and find it to be accurate and complete to the best of my knowledge and belief. Therefore, unless additional approvals are required as prescribed below, as the head of the procuring activity or authorized designee, I hereby approve this justification based on the authority specified in 4.a above.

Name: _____ Date: _____

Signature: _____

9.d Treasury Chief Information Officer (for IT requirements that are over \$75 million). I have reviewed this justification and find it to be accurate and complete to the best of my knowledge and belief, and representative of the Government's need. Therefore, I hereby consent to the approval of this justification.

Name: _____ Date: _____

Signature: _____

9.e Senior Procurement Executive (if over \$75 million) (Contracting Activity). I have reviewed this justification for an exception to fair opportunity and find it to be accurate and complete to the best of my knowledge and belief. Therefore, as the senior procurement executive, I hereby approve this justification based on the authority specified in 4.a above.

Name: _____ Date: _____

Signature: _____

Requirement Title: Infrastructure Shared Services (ISS)

This signature page was added to document that this is an exception to the moratorium on making awards to other-than-small-businesses that are bridge actions (reference: Memorandum entitled "Concern over critical Internal Revenue Service (IRS) acquisition deficiencies").

Prepared by:

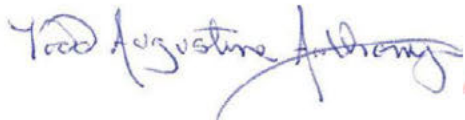
JW R. Terry

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Date: 2024.12.10 21:36:48
-05'00'

JW Terry
Contracting Officer, IRS

Date

Reviewed By:



Digitally signed by nmkvb
Date: 2024.12.11 10:35:15 -05'00'

Todd A. Anthony
Chief Procurement Officer, IRS

Date

Approved By:

Rajiv K. Uppal

Digitally signed by Rajiv K. Uppal
Date: 2024.12.13 08:57:51 -05'00'

Rajiv Uppal
Chief Information Officer, IRS

Date

Melanie R. Krause

Digitally signed by Melanie R. Krause
Date: 2024.12.18 07:14:20 -05'00'

Melanie Krause
Chief Operating Officer and
Head of Contracting Activity, IRS

Date



Nicole K. Evans
2024.12.19 09:44:59 -05'00'

Nicole Evans
Deputy Assistant Secretary for Acquisition and
Senior Procurement Executive, Treasury

Date